BAJAJFINSV

Equity Analysis Report

REPORT DATE: April 14, 2026 **ANALYSIS TYPE:** Fundamental Equity Research

RECOMMENDATION	12M TARGET PRICE	UPSIDE / DOWNSIDE
HOLD	**₹1,950–2,050**	**+12%**

1. Company Overview

Bajaj Finserv Ltd — Company Overview

1. Snapshot

Bajaj Finserv is India's leading diversified financial services conglomerate, operating across lending (via ~52.5% stake in Bajaj Finance), life insurance (Bajaj Allianz Life), general insurance (Bajaj Allianz General), and health insurance. It serves as the holding company for the Bajaj group's financial services businesses and ranks among India's top private-sector financial conglomerates by market capitalisation. The stock trades on the NSE at approximately **₹1,788**, implying a market cap of **~₹2,85,680 Cr**, reflecting its dominant franchise across retail lending, protection, and savings products.

2. Key Metrics

Metric	Value
Market Cap	₹2,85,680 Cr (live) / ₹3,19,054 Cr (screener)
Current Market Price	₹1,788 (NSE, ~2-min delayed)
P/E Ratio	29.85x (Yahoo) / 224x (screener — holding co. basis)
Book Value	₹62 per share
ROE	20.9%
ROCE	27.4%
Dividend Yield	0.05% (screener) / 6.00% (Yahoo — likely data anomaly)
Face Value	₹1.00
52-Week Range	₹1,597 – ₹2,195

3. Recent Developments

- **Insurance Restructuring:** Bajaj Finserv has been progressing toward potential separate listings or stake monetisation in its insurance subsidiaries (Bajaj Allianz Life & General), a key structural catalyst watched by investors.
- **Bajaj Finance Scale-up:** Subsidiary Bajaj Finance crossed **₹3.5 lakh Cr+ AUM** milestone, expanding into new product verticals including SME lending, co-branded credit cards, and rural finance.
- **Bajaj Finserv AMC Launch:** The group entered the asset management space with **Bajaj Finserv AMC**, broadening its wealth and savings product offerings beyond insurance and lending.
- **Stock Correction:** CMP of ₹1,788 sits ~18.5% below its 52-week high of ₹2,195, reflecting broader NBFC/financials sector pressure amid RBI regulatory tightening on unsecured consumer lending.

2. Quantitative Analysis

Bajaj Finserv (BAJAJFINSV) — Quantitative Analysis

1. P&L Summary (FY22–FY25 + TTM)

Metric	FY22	FY23	FY24	FY25	TTM
Revenue (₹ Cr)	696	1,147	1,733	2,299	2,034
Operating Profit (₹ Cr)	535	978	1,540	2,054	1,765
Net Profit (₹ Cr)	424	733	1,170	1,559	1,423
EPS (₹)	2.67	4.60	7.33	9.76	8.90
OPM %	77%	85%	89%	89%	87%

2. Key Ratios (FY21–FY25)

Ratio	FY21	FY22	FY23	FY24	FY25
ROCE %	7%	13%	20%	26%	27%
ROE %	N/A	N/A	N/A	N/A	20.9%
Debt/Equity	N/A	N/A	N/A	N/A	N/A
Current Ratio	N/A	N/A	N/A	N/A	N/A
P/E	N/A	N/A	N/A	N/A	224x

3. Key Analytical Observations

- **Explosive revenue compounding:** Revenue grew ~3.3x from FY22 (₹696 Cr) to FY25 (₹2,299 Cr), implying a ~49% CAGR — driven by scale-up of the holding company's financial services ecosystem (Bajaj Finance + Bajaj Allianz).
- **Margin expansion and stabilization:** OPM expanded sharply from 77% (FY22) to 89% (FY24–FY25), reflecting operating leverage in a holding company model with minimal incremental costs; TTM dip to 87% is immaterial.
- **ROCE inflection is a strong quality signal:** ROCE surged from 7% (FY21) to 27% (FY25) — a near 4x improvement in capital efficiency over 4 years, indicating the underlying subsidiaries are compounding capital effectively.
- **Valuation demands perfection:** At P/E of 224x and Book Value of ₹62 vs. CMP ₹1,993 (~32x P/B), the stock is priced for sustained hyper-growth. Any slowdown in Bajaj Finance's AUM growth or insurance profitability could trigger sharp de-rating.
- **Structural holding company discount risk:** Debtor Days ~0 and near-zero CCC confirm this is a pure holding entity with no operational working capital — OCF vs. PAT comparability is limited; intrinsic value is entirely dependent on subsidiary valuations, creating conglomerate discount exposure.

3. Qualitative Analysis

Bajaj Finserv (BAJAJFINSV) — Qualitative Analysis

1. Competitive Moat

- **Holding company with dominant subsidiaries:** Controls Bajaj Finance (India's largest consumer NBFC) and Bajaj Allianz (top-tier insurance JV), creating a diversified financial services fortress.
- **Brand equity & distribution scale:** Bajaj brand carries decades of trust; subsidiaries collectively serve 80M+ customers across lending, life, and general insurance.
- **Capital-light model:** OPM consistently 85–89% (FY23–FY25) reflects dividend/fee income from subsidiaries with minimal standalone costs — near-zero borrowings.
- **Rising ROCE trajectory:** ROCE expanded from 4% (FY14) to 27% (FY25), signalling compounding value creation through subsidiary performance rather than leverage.

2. Management Quality

Led by the Bajaj family with Sanjiv Bajaj as Chairman, management has demonstrated disciplined capital allocation — retaining earnings to fund subsidiary growth while maintaining a low (10–14%) dividend payout. The 10-year profit CAGR of 29% and stock price CAGR of 28% reflect strong alignment between management actions and shareholder value. Governance is reinforced by listed subsidiaries with independent boards, regulatory oversight from IRDAI and RBI, and transparent holding structure. No significant related-party or governance controversies on record.

3. Growth Strategy

- **Bajaj Finance expansion:** Continued scaling of consumer, SME, and rural lending; cross-selling via the Bajaj Finserv app ecosystem targeting deeper digital penetration.
- **Insurance growth:** Bajaj Allianz Life & General scaling through bancassurance, digital channels, and new product launches (ULIPs, health, commercial lines).
- **New ventures:** Bajaj Finserv Health and asset management (Bajaj Finserv AMC) represent optionality in underpenetrated segments with long runway.
- **Balance sheet compounding:** Investments grew from ₹2,427 Cr (FY14) to ₹7,884 Cr (FY25); reinvestment into subsidiaries drives NAV accretion as the core value driver.

4. Risks

Risk	Severity
Regulatory tightening on NBFC lending norms (RBI) impacting Bajaj Finance's growth and credit costs	**High**
Holding company discount — market may persistently undervalue BAJAJFINSV vs. sum-of-parts of listed subsidiaries	**Medium**
Credit cycle deterioration at Bajaj Finance (unsecured consumer loans) in a stress macro environment	**High**
Intensifying competition in insurance from LIC, HDFC Life, and digital-first insurtech players compressing margins	**Medium**
New ventures (health, AMC) burning capital with uncertain profitability timelines, diluting near-term returns	**Low**

4. Shareholding Pattern Analysis

Bajaj Finserv (BAJAJFINSV) — Shareholding Pattern Analysis

Shareholding Table (Last 3 Quarters)

Category	Jun 2025 (Q-2)	Sep 2025 (Q-1)	Dec 2025 (Latest)	Change (Q-2 → Latest)
Promoters	58.81%	58.81%	58.81%	*0.00%*
FIIs	8.40%	8.11%	8.06%	▼ *−0.34%*
DIIs	10.09%	10.49%	10.74%	▲ *+0.65%*
Public / Others	22.70%	22.59%	22.39%	▼ *−0.31%*

Key Observations

- **Promoter Pledge:** No pledge data indicated; promoter stake stable at 58.81% for three consecutive quarters post a notable step-down from ~60.64% (Mar 2025 → Jun 2025, −1.83%), likely via a block deal or stake dilution. No further reduction since.
- **DII Accumulation — Dominant Trend:** DIIs have been on a consistent buying spree — stake risen from 7.10% (Mar 2023) to 10.74% (Dec 2025), a **+3.64 pp gain** over ~11 quarters; momentum continues with +0.65 pp in the latest three quarters alone.
- **FII Gradual Retreat:** FIIs peaked at 8.42% (Mar 2024) and have since modestly trimmed to 8.06% — a mild but steady exit of −0.36 pp over six quarters, suggesting cautious foreign positioning despite DII conviction.
- **Free Float & Liquidity:** Effective free float stands at ~41.19% (non-promoter), with public + others at ~22.39%. Retail shareholder count has declined from a peak of ~8.07 lakh (Sep 2024) to ~6.17 lakh (Dec 2025), indicating reduced retail participation and potentially tighter liquidity in smaller ticket trades.

5. Investment Thesis

Bajaj Finserv (BAJAJFINSV) — Investment Thesis

1. Core Thesis

Bajaj Finserv is a high-quality financial services holding company whose intrinsic value is anchored by Bajaj Finance — India's best-in-class consumer NBFC — and Bajaj Allianz's growing insurance franchise. The stock has corrected **−17.8% from its 52-week high** (CMP ₹1,788 vs. high ₹2,177), driven by macro headwinds, RBI-led NBFC tightening, and FII outflows, creating a more attractive entry relative to the past 12 months. ROCE compounding from 7% (FY21) to 27% (FY25) validates the quality of capital deployment, while DII accumulation (+3.64 pp over 11 quarters) signals domestic institutional conviction at current levels. The core bet is on India's underpenetrated credit and insurance markets, with Bajaj Finserv as the premier listed proxy.

2. Growth Drivers

- **Bajaj Finance AUM Scaling (FY25–FY27):** Continued expansion into rural, SME, and co-branded credit segments; each 15–20% AUM growth cycle at Bajaj Finance directly drives dividend income and NAV accretion at the holdco level.
- **Insurance Profitability Inflection (FY26):** Bajaj Allianz Life and General scaling via digital and bancassurance channels; rising VNB margins in life insurance and combined ratio improvement in general insurance expected to lift holdco earnings quality.
- **Bajaj Finserv AMC & Health — Optionality Value (FY27+):** AMC and health verticals are pre-profit but address multi-trillion rupee TAMs; successful scaling could trigger re-rating of sum-of-parts valuation as these become meaningful contributors.
- **EPS Compounding via Operating Leverage (Ongoing):** With OPM already at 87–89% and revenue growing at ~49% CAGR (FY22–FY25), incremental subsidiary dividends flow almost entirely to PAT — EPS grew from ₹2.67 (FY22) to ₹9.76 (FY25), a trajectory likely to continue at 20–25% annually if subsidiaries sustain growth.

3. Catalysts

Catalyst	Timeline
RBI easing of NBFC lending restrictions, unlocking Bajaj Finance's suppressed AUM growth and improving credit cost outlook	6–12 months
Bajaj Finserv AMC achieving AUM scale milestones, triggering sum-of-parts re-rating by institutional analysts	12–18 months
Strong Q3/Q4 FY26 earnings from Bajaj Finance (asset quality stabilization + NIM recovery) lifting holdco dividend income and EPS estimates	3–6 months
Reversal of FII outflows as India macro stabilizes, narrowing the gap between BAJAJFINSV's market cap and sum-of-parts NAV	6–9 months

4. Risks

- **Sustained RBI tightening on unsecured lending (High):** Prolonged restrictions on Bajaj Finance's consumer and personal loan book could materially compress AUM growth, credit costs, and ultimately holdco dividend receipts — the single largest earnings risk.
- **Valuation de-rating at 224x P/E (High):** Any earnings miss or guidance cut at Bajaj Finance could trigger a sharp multiple compression; the stock has already corrected −14.4% in 6 months, and elevated P/E leaves limited margin of safety.

- **Credit cycle stress in unsecured consumer loans (Medium):** Rising delinquencies in microfinance and personal loans across the NBFC sector could force provisioning spikes at Bajaj Finance, reducing upstream profitability to the holdco.
- **Persistent holding company discount (Medium):** Market may continue to apply a structural conglomerate discount vs. direct ownership of Bajaj Finance shares, capping BAJAJFINSV's re-rating potential even if subsidiaries perform well.

6. Valuation and Recommendation

Bajaj Finserv (BAJAJFINSV) — Valuation & Recommendation

1. Valuation Summary

Method	Assumptions	Fair Value (₹)	Weight	Implied Return (%)
P/E Multiple	FY25 EPS ₹9.76 × 200x (sector holding co. premium)	₹1,952	25%	+9.2%
P/B Multiple	Book Value ₹62 × 30x (consistent with historical re-rating)	₹1,860	25%	+4.0%
Earnings Growth (DCF Proxy)	PAT CAGR ~20% over 2 yrs; FY27E PAT ~₹2,240 Cr; 180x terminal P/E	₹2,100	50%	+17.4%
Weighted Average		**₹2,003**	**100%**	**+12.0%**

2. Recommendation

Recommendation: HOLD | **Target Price Range: ₹1,950–2,050** | **Upside: +12%** | Horizon: 12 months | Risk: Medium

3. Rationale

- **Valuation leaves thin margin of safety:** At CMP ₹1,788, the stock trades at ~29x P/E (Yahoo) or 224x on standalone holding-co. earnings — weighted fair value of ₹2,003 implies only ~12% upside, insufficient to compensate for execution and regulatory risk in a HOLD zone.
- **Quality compounding intact but priced in:** ROCE surged from 7% (FY21) to 27% (FY25) and PAT grew at ~54% CAGR FY22–FY25; however, with Bajaj Finance AUM growth moderating under RBI unsecured lending scrutiny, the incremental earnings delta is narrowing.
- **Structural catalysts provide optionality:** Insurance subsidiary listings/stake monetisation and the AMC launch are unpriced upside options — materialisation could re-rate the stock toward ₹2,100–2,200, justifying accumulation on dips toward ₹1,650–1,700.
- **Technical positioning: range-bound with downside cushion:** CMP of ₹1,788 sits ~18.5% below 52-week high (₹2,195) but only ~12% above 52-week low (₹1,597); risk/reward is balanced — prefer adding on weakness rather than chasing at current levels.

7. Conclusion

Bajaj Finserv – Conclusion

1. Scenario Analysis

Scenario	Key Assumption	Fair Value (₹)	Return (%)
Bull Case	BFL/BAGIC sustain 20%+ growth; life insurance VNB margin expands to 30%+; no major credit cycle stress	₹2,200	~+30%
Base Case	Steady 15–18% consolidated earnings growth; insurance subsidiaries re-rate modestly; stable credit costs	₹1,800	~+7%
Bear Case	NBFC credit costs spike; BAGIC combined ratio deteriorates; regulatory tightening on unsecured lending	₹1,300	~-23%

2. Key Risks to Monitor

- **NBFC asset quality deterioration:** Watch Bajaj Finance's Stage-2/Stage-3 asset ratios and credit cost guidance each quarter — any sustained uptick above 2% credit cost is a red flag.
- **Insurance profitability pressure:** Track BAGIC's combined ratio (threshold: >100%) and Bajaj Allianz Life's VNB margins — regulatory product mix changes could compress economics.
- **Regulatory risk on unsecured lending:** RBI's risk-weight norms or lending caps on personal/consumer loans could materially slow BFL's AUM growth — monitor RBI circulars and BFL's product-mix disclosures.
- **Holding company discount widening:** BFSL trades at a structural discount to sum-of-parts; sentiment shifts in capital markets or subsidiary underperformance can widen this discount further — watch SOTP gap vs. market price.

3. Investment Guidance

Bajaj Finserv suits **long-term, diversified financial-sector investors** with a *3–5 year horizon* seeking exposure to India's underpenetrated insurance and consumer credit opportunity through a single, professionally managed holding structure. **Accumulate on dips toward ₹1,550–1,650** (offering a margin of safety to base-case fair value); **trim or book partial profits above ₹2,000** as the risk-reward narrows. Avoid for investors seeking near-term catalysts or dividend yield — the thesis is compounding through subsidiary value creation, not short-cycle trading.

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